City of Valley, Nebraska
Statement of Net Position
September 30, 2025

	Governmental Activities	Business-type Activities	Total
Assets			
Cash and cash investments	$ 9,960,523	$ 4,821,764	$ 14,782,287
Cash with County Treasurer	206,768	-	206,768
Taxes receivable	561,941	-	561,941
Grants receivable	-	1,199,816	1,199,816
Accounts receivable	-	89,655	89,655
Lease receivable	-	1,094,431	1,094,431
Interest receivable	-	3,457	3,457
Prepaid items	-	20,484	20,484
Internal balances	109,482	(109,482)	-
Capital assets			
Land	300,000	4,000	304,000
Construction in process	-	3,480,478	3,480,478
Buildings	984,774	941,040	1,925,814
Improvement and infrastructure	5,053,013	21,435,066	26,488,079
Equipment and furniture	1,654,085	713,949	2,368,034
Accumulated depreciation and amortization	(1,947,121)	(10,082,346)	(12,029,467)
Total assets	16,883,465	23,612,312	40,495,777
Liabilities			
Accounts payable	446,269	860,190	1,306,459
Accrued liabilities	77,845	314,511	392,356
Accrued interest	78,111	-	78,111
Customer deposits	-	89,290	89,290
Current portion of long-term liabilities	317,431	810,998	1,128,429
Long-term liabilities	5,893,357	10,078,633	15,971,990
Total liabilities	6,813,013	12,153,622	18,966,635
Deferred Inflows of Resources			
Lease receivable	-	992,735	992,735
Net Position			
Net investment in capital assets	778,275	5,320,416	6,098,691
Restricted for			
Community betterment	336,386	-	336,386
Community development	7,188,987	-	7,188,987
Unrestricted	1,766,804	5,145,539	6,912,343
Total net position	$ 10,070,452	$ 10,465,955	$ 20,536,407

See notes to basic financial statements.

City of Valley, Nebraska
Statement of Activities
Year Ended September 30, 2025

Functions/Programs	Expenses	Program Revenues: Charges for services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net Revenues (Expenses) and Changes in Net Position: Governmental Activities	Net Revenues (Expenses) and Changes in Net Position: Business-type Activities	Net Revenues (Expenses) and Changes in Net Position: Net Total
Primary government							
Governmental activities							
General services	$ 1,286,961	$ 510,647	$ 80,456	$ -	$ (695,858)	$ -	$ (695,858)
Public safety	896,030	-	-	-	(896,030)	-	(896,030)
Public works	740,343	-	-	-	(740,343)	-	(740,343)
Keno	98,078	86,798	-	-	(11,280)	-	(11,280)
Culture and recreation	245,166	-	-	-	(245,166)	-	(245,166)
Tax increment financing	5,998,844	-	-	-	(5,998,844)	-	(5,998,844)
Unallocated depreciation	397,525	-	-	-	(397,525)	-	(397,525)
Interest and fees	289,814	-	-	-	(289,814)	-	(289,814)
Total governmental activities	9,952,761	597,445	80,456	-	(9,274,860)	-	(9,274,860)
Business-type activities							
Utilities	3,222,842	2,696,666	-	1,307,203	-	781,027	781,027
Nursing home	115,718	284,496	-	-	-	168,778	168,778
Total business-type activities	3,338,560	2,981,162	-	1,307,203	-	949,805	949,805
Total government	$ 13,291,321	$ 3,578,607	$ 80,456	$ 1,307,203	(9,274,860)	949,805	(8,325,055)
General revenues							
Taxes							
Property					8,967,603	-	8,967,603
Sales					2,146,735	-	2,146,735
Intergovernmental					554,803	-	554,803
Interest income					53,342	45,617	98,959
Transfers					(142,328)	142,328	-
Miscellaneous					221,520	243,514	465,034
Total general revenues					11,801,675	431,459	12,233,134
Change in net position					2,526,815	1,381,264	3,908,079
Net Position - beginning of year					7,543,637	12,207,771	19,751,408
Error Correction, See Note 12					-	(3,123,080)	(3,123,080)
Net Position - beginning of year, as restated					7,543,637	9,084,691	16,628,328
Net Position - end of year					$ 10,070,452	$ 10,465,955	$ 20,536,407

See notes to basic financial statements.

City of Valley, Nebraska
Balance Sheet - Governmental Funds
September 30, 2025

	General	Bond	Sales Tax	TIF	Keno	Leasing Corporation	Total Governmental Funds
Assets							
Cash and investments	$ 1,984,810	$ 568,475	$ 6,874,094	$ 1,000	$ 337,536	$ 194,608	$ 9,960,523
Cash with County Treasurer	67,693	8,106	-	130,969	-	-	206,768
Taxes receivable	96,941	10,190	314,893	139,917	-	-	561,941
Due from other funds	109,482	-	-	-	-	-	109,482
Total assets	$ 2,258,926	$ 586,771	$ 7,188,987	$ 271,886	$ 337,536	$ 194,608	$ 10,838,714
Liabilities							
Accounts payable	$ 304,203	$ -	$ -	$ 140,916	$ 1,150	$ -	$ 446,269
Due to other funds	-	-	-	-	-	-	-
Accrued wages payable	77,845	-	-	-	-	-	77,845
Total liabilities	382,048	-	-	140,916	1,150	-	524,114
Deferred Inflows of Resources							
Unavailable revenue - taxes receivable	36,260	10,181	-	-	-	-	46,441
Fund Balances							
Restricted for							
Debt service	-	576,590	-	130,970	-	-	707,560
Community betterment	-	-	-	-	336,386	-	336,386
Culture and recreation	-	-	-	-	-	194,608	194,608
Community development	-	-	7,188,987	-	-	-	7,188,987
Unassigned	1,840,618	-	-	-	-	-	1,840,618
Total fund balances	1,840,618	576,590	7,188,987	130,970	336,386	194,608	10,268,159
Total liabilities, deferred inflows of resources, and fund balances	$ 2,258,926	$ 586,771	$ 7,188,987	$ 271,886	$ 337,536	$ 194,608	$ 10,838,714

Reconciliation of the Balance Sheet - Governmental Funds to the Statement of Net Position

Total fund balance - governmental funds	$ 10,268,159
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds.	6,044,751
Deferred inflows of resources for unavailable revenues not available to pay for current period expenditures.	46,441
Long-term liabilities, including bonds payable and related interest payable, are not due and payable in the current period and; therefore, are not reported as liabilities in the funds. Long-term liabilities at year-end consists of:	
Accrued interest payable	(78,111)
Lease liabilities	(240,788)
Bonds payable	(5,970,000)
Total net position - governmental activities	$ 10,070,452

See notes to basic financial statements.

City of Valley, Nebraska
Statement of Revenues, Expenditures, and
Changes in Fund Balances - Governmental Funds
Year Ended September 30, 2025

	General	Bond	Sales Tax	TIF	Keno	Leasing Corporation	Total Governmental
Revenues							
Taxes	$ 2,502,807	$ 379,812	$ 2,146,735	$ 6,057,411	$ -	$ -	$ 11,086,765
Licenses and permits	425,217	-	-	-	-	-	425,217
Intergovernmental	554,803	-	-	-	-	-	554,803
Charges for services	85,430	-	-	-	-	-	85,430
Grant income	80,456	-	-	-	-	-	80,456
Keno	-	-	-	-	86,798	-	86,798
Interest income	14,793	11,035	-	-	9,806	17,708	53,342
Other	209,235	-	-	-	-	12,285	221,520
Total revenues	3,872,741	390,847	2,146,735	6,057,411	96,604	29,993	12,594,331
Expenditures							
General government	1,286,961	20,717	-	-	-	26,850	1,334,528
Public health and safety	896,030	-	-	-	-	-	896,030
Culture and recreation	245,166	-	-	-	-	1,668,535	1,913,701
Public works	1,886,309	-	-	-	-	-	1,886,309
Community development	-	-	-	-	98,078	-	98,078
Debt service							
Principal	-	395,000	-	-	-	-	395,000
Interest	-	174,914	-	-	-	-	174,914
Total expenditures	4,314,466	590,631	-	-	98,078	1,695,385	6,698,560
Excess (deficiency) of revenues over (under) expenditures	(441,725)	(199,784)	2,146,735	6,057,411	(1,474)	(1,665,392)	5,895,771
Other Financing Sources (Uses)							
Proceeds from issuance of bonds	-	1,585,000	-	-	-	1,860,000	3,445,000
Tax increment financing	-	-	-	(5,998,844)	-	-	(5,998,844)
Transfer from other funds	1,752,250	-	-	-	-	-	1,752,250
Transfer to other funds	-	(1,284,478)	(610,000)	-	(100)	-	(1,894,578)
Total other financing sources (uses)	1,752,250	300,522	(610,000)	(5,998,844)	(100)	1,860,000	(6,141,172)
Net change in fund balances	1,310,525	100,738	1,536,735	58,567	(1,574)	194,608	3,199,599
Fund balances, beginning of year	530,093	475,852	5,652,252	72,403	337,960	-	7,068,560
Fund balances, end of year	$ 1,840,618	$ 576,590	$ 7,188,987	$ 130,970	$ 336,386	$ 194,608	$ 10,268,159

See notes to basic financial statements.

City of Valley, Nebraska
Statement of Net Position - Proprietary Funds
September 30, 2025

	Utilities	Nursing Home	Total
Assets			
Current assets			
Cash and cash equivalents	$ 3,671,430	$ 1,150,334	$ 4,821,764
Grants receivable	1,199,816	-	1,199,816
Utility billing receivables	89,655	-	89,655
Prepaid items	20,484	-	20,484
Lease receivable - current portion	-	264,578	264,578
Interest receivable	-	3,457	3,457
Total current assets	4,981,385	1,418,369	6,399,754
Noncurrent assets			
Land	4,000	-	4,000
Buildings	371,400	569,640	941,040
Infrastructure and Improvements	19,362,382	2,072,684	21,435,066
Equipment and furniture	697,166	16,783	713,949
Accumulated depreciation	(8,876,988)	(1,205,358)	(10,082,346)
Construction in progress	3,480,478	-	3,480,478
Net property, plant and equipment	15,038,438	1,453,749	16,492,187
Lease receivable - non-current portion	-	829,853	829,853
Total assets	$ 20,019,823	$ 3,701,971	$ 23,721,794
Liabilities and Net Position			
Current liabilities			
Accounts payable	$ 860,190	$ -	$ 860,190
Accrued expenses	314,511	-	314,511
Customer deposits	89,290	-	89,290
Due to other funds	109,482	-	109,482
Current portion of noncurrent liabilities	724,292	86,706	810,998
Total current liabilities	2,097,765	86,706	2,184,471
Noncurrent liabilities			
Bonds and notes payable, net of current portion	9,186,133	892,500	10,078,633
Deferred Inflows of Resources			
Lease receivable	-	992,735	992,735
Net Position			
Net investment in capital assets	4,845,873	474,543	5,320,416
Unrestricted	3,890,052	1,255,487	5,145,539
Total net position	8,735,925	1,730,030	10,465,955
Total liabilities and net position	$ 20,019,823	$ 3,701,971	$ 23,721,794

See notes to basic financial statements.

City of Valley, Nebraska
Statement of Revenues,
Expenses and Changes in Net Position
Proprietary Funds
Year Ended September 30, 2025

	Utilities	Nursing Home	Total
Operating Revenues			
Metered sales	$ 2,133,150	$ -	$ 2,133,150
Connection fees	546,837	-	546,837
Assessments	16,679	-	16,679
Rent	-	284,496	284,496
Miscellaneous income	196,786	46,728	243,514
Total operating revenues	2,893,452	331,224	3,224,676
Operating Expenses			
Salaries and benefits	45,023	-	45,023
Supplies	121,844	-	121,844
People service contract	384,940	-	384,940
Fremont Department of Utilities contract	748,128	-	748,128
Insurance	49,161	-	49,161
Utilities	143,028	-	143,028
Repairs and maintenance	881,767	-	881,767
Professional fees	18,058	829	18,887
Miscellaneous	164,194	-	164,194
Capital Outlay	32,309	-	32,309
Depreciation and amortization	514,855	53,458	568,313
Total operating expenses	3,103,307	54,287	3,157,594
Operating Income (loss)	(209,855)	276,937	67,082
Non-operating Revenues (expenses)			
Grant Income	1,307,203	-	1,307,203
Interest income	45,617	-	45,617
Interest expense	(119,535)	(61,431)	(180,966)
Transfer from other funds	154,253	(11,925)	142,328
Total non-operating revenues (expenses)	1,387,538	(73,356)	1,314,182
Change in net position	1,177,683	203,581	1,381,264
Net position - beginning of year	10,681,322	1,526,449	12,207,771
Error Correction, See Note 12	(3,123,080)	-	(3,123,080)
Net Position - beginning of year, as restated	7,558,242	1,526,449	9,084,691
Net position - end of year	$ 8,735,925	$ 1,730,030	$ 10,465,955

See notes to basic financial statements.

City of Valley, Nebraska
Statement of Cash Flows
Proprietary Funds
Year Ended September 30, 2025

	Utilities	Nursing Home	Total
Cash Flows - Operating Activities			
Cash receipts from customers	$ 2,634,000	$ -	$ 2,634,000
Other operating receipts	196,786	332,001	528,787
Cash payments to employees for services	(45,023)	-	(45,023)
Cash payments to suppliers for goods and services	(2,264,669)	(829)	(2,265,498)
Net cash flows - operating activities	521,094	331,172	852,266
Cash Flows - Noncapital Financing Activities			
Interfund activity	203,416	(11,925)	191,491
Cash Flows - Capital and Related Financing Activities			
Grant income	612,141	-	612,141
Acquisition of capital assets	(2,620,150)	-	(2,620,150)
Lease receivable activity	-	(18,586)	(18,586)
Principal payment on bonds and notes payable	(583,555)	(81,671)	(665,226)
Proceeds from debt	1,115,757		1,115,757
Proceeds from notes payable	-	-	-
Interest and fiscal fees paid on debt	(121,599)	(61,431)	(183,030)
Net cash flows - capital and related financing activities	(1,597,406)	(161,688)	(1,759,094)
Cash Flows - Investing Activities			
Interest on investments	45,617	-	45,617
Net change in cash and cash equivalents	(827,279)	157,559	(669,720)
Cash and cash equivalents - beginning of year	4,498,709	992,775	5,491,484
Cash and cash equivalents - end of year	$ 3,671,430	$ 1,150,334	$ 4,821,764
Reconciliation of Change in Net Position to Net Cash Flows - Operating Activities			
Operating income (loss)	$ (209,855)	$ 276,937	$ 67,082
Adjustments to reconcile operating income (loss) to net cash flows - operating activities			
Depreciation and amortization	514,855	53,458	568,313
Change in receivables	(62,666)	777	(61,889)
Change in payables and accrued expenses	299,244	-	299,244
Change in prepaid expenses	(20,484)	-	(20,484)
Net cash flows - operating activities	$ 521,094	$ 331,172	$ 852,266
Noncash capital and related financing activities			
Purchase of capital assets	$ 3,461,064		
Capital asset purchases included in accounts payable and accrued expenses	(840,914)		
Cash paid for the purchase of capital assets	$ 2,620,150		

See notes to basic financial statements.

City of Valley, Nebraska
Schedule of Revenues, Expenditures, and Changes in
Fund Balance - Budget and Actual
Governmental Funds (Excluding Debt Service Fund and Leasing Corporation)
Year Ended September 30, 2025

	Initial and Final Budget	Actual	Variance
Revenues			
Taxes	$ 7,038,854	$ 10,599,337	$ 3,560,483
Licenses and permits	417,940	424,217	6,277
Intergovernmental	455,400	554,803	99,403
Charges for services	76,650	85,430	8,780
Miscellaneous	281,680	209,235	(72,445)
Keno fees	95,000	86,798	(8,202)
Grant income	4,994,992	80,456	(4,914,536)
Interest income	9,000	24,599	15,599
Total revenues	13,369,516	12,064,875	(1,304,641)
Expenditures			
General government	1,672,581	1,120,688	(551,893)
Public health and safety	1,921,010	814,396	(1,106,614)
Culture and recreation	4,969,620	242,978	(4,726,642)
Public works	5,290,737	2,047,022	(3,243,715)
Community develoment	100	98,078	97,978
Total expenditures	13,854,048	4,323,162	(9,530,886)
Excess (deficiency) of revenues over expenditures	(484,532)	7,741,713	8,226,245
Other Financing Sources (Uses)			
Tax increment financing	(3,400,000)	(5,857,928)	(2,457,928)
Transfers from other funds	1,000,000	1,752,250	752,250
Transfers to other funds	(2,960,000)	(610,100)	2,349,900
Total other financing sources (uses)	(5,360,000)	(4,715,778)	644,222
Change in fund balances	$ (5,844,532)	3,025,935	$ 8,870,467
Fund balances - beginning of year		6,479,649	
Fund balances - end of year		$ 9,505,584	

See notes to budgetary comparison schedule.

City of Valley, Nebraska
Schedule of Revenues, Expenditures, and Changes in
Fund Balance - Budget and Actual
Debt Service Fund
Year Ended September 30, 2025

	Initial and Final Budget	Actual	Variance
Revenues			
Taxes	$ 384,382	390,545	$ 6,163
Interest income	-	11,035	11,035
Total revenues	384,382	401,580	17,198
Expenditures			
General government	-	20,717	20,717
Debt service			
Principal retirement	215,000	395,000	180,000
Interest	185,421	174,914	(10,507)
Total expenditures	400,421	590,631	190,210
Excess (deficiency) of revenues over expenditures	(16,039)	(189,051)	(173,012)
Other Financing Uses			
Transfers to other funds	-	(1,284,478)	(1,284,478)
Proceeds from the issuance of bonds	-	1,585,000	1,585,000
Total other financing sources	-	300,522	300,522
Change in fund balance	$ (16,039)	111,471	$ 127,510
Fund balance - beginning of year		465,110	
Fund balance - end of year		$ 576,581	

See notes to budgetary comparison schedule.